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California still has bright economic future despite Tesla exit: Newsom

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Author: George Avalos | Section: Business | 707 Words
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OAKLAND — Gov. Gavin Newsom on Friday attempted to put a brave face on the jolt to California's prestige brought by Tesla's decision this week to shift its headquarters from Silicon Valley to Texas.

Tesla's chief executive officer, Elon Musk, announced the decision to move the company's headquarters from Palo Alto to Texas, a defection that helps solidify the narrative for some that California maintains a hostile business climate. But the governor wasn't having it.

"California is the fastest-growing economic jurisdiction in the world over the last five years," Newsom said after a bill-signing event in downtown Oakland on Friday.

Newsom touted the 21% growth in California's gross domestic product over the past five years. The governor noted that this pace of economic expansion outstrips Texas' performance of 12% state GDP growth over the same time frame.

Musk has been sharply critical of California's business climate and first threatened to move his company headquarters to Texas last year after being hit with a shutdown order for Tesla's Fremont manufacturing plant during the early days of the pandemic. "Frankly, this is the final straw," he tweeted at the time.

But the governor insisted that California deserves gratitude for bolstering Tesla financially over the years.

"California has provided hundreds of millions of dollars in tax subsidies to Tesla," Newsom said.

The state also continues to invest in electric vehicles and green car technology, the governor said.

"I have reverence and deep respect for that individual," Newsom said, referring to Musk. "I also have deep reverence for the state and what we have done to support those investments. We will continue to have no peers in terms of economic growth."

Despite the rosy predictions from the governor, California badly lags the nation in terms of recovering all of the jobs that were lost due to the start of business shutdowns to combat the coronavirus.

Through the end of August, California had recovered only 62.1% — less than two-thirds — of the jobs that it lost during March and April of 2020, the two months that marked the onset of the lockdowns to curb the spread of the deadly bug.

In sharp contrast, the United States has recovered 76.2% — more than three-fourths — of the jobs lost at the start of the shutdowns nationwide.

California lost a jaw-dropping 2.71 million jobs during those two months.

From May 2020 through August 2021, the state has regained 1.69 million jobs. But that leaves a deficit of more than 1 million jobs for California in terms of recovering the employment that was lost.

Tesla isn't alone in announcing a high-profile corporate headquarters exit from California. Oracle has decided to shift its headquarters from Redwood City to Texas. Hewlett Packard Enterprise also moved its headquarters from San Jose to the Lone Star State.

But even amid the news of the headquarters move, the carmaker struck a new lease deal for a 325,000-square foot office space in Palo Alto.

The discussion of Tesla's exit came during a question-and-answer session after the governor signed a legislative package to help support the state's rebound from the COVID-induced job losses.

The governor signed three bills — SB 314, authored by state Sen. Scott Wiener, D-San Francisco, SB 380 by Sen. Bill Dodd, D-Napa, and AB 61 by Assemblymember Jesse Gabriel, D-Encino — that were crafted to help restaurants, bars, breweries and wineries.

Some provisions in the legislative package enable restaurants and drinking establishments greater flexibility and opportunities to expand outdoor dining and beverage services on a long-term basis or even permanently.

"Eat your heart out, Paris," Newsom said.

Other provisions in the group of bills allow restaurants, bars, breweries and wineries that sell food to offer to-go alcoholic beverages with food orders through Dec. 31, 2026.

Nigel Jones, chef and owner of Kingston 11 Cuisine, a Jamaican restaurant in downtown Oakland, welcomed assistance from the newly signed laws.

"Over the last year and a half, we have struggled through the pandemic," Jones said during the event. "But we have bounced back. When the pandemic hit, we lost about 70% of our business."

Despite the ongoing departures of headquarters facilities from California and the wide-ranging job woes that afflict the state, the governor sketched out a picture of robust growth for the statewide economy.

"Our best days are in front of us," Newsom said.

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